

level by year-end. Had spending been taken at the *end* of each year, the spending rate would equal the investment return, as you could indefinitely sustain a plan that spent each year's investment return.

Exhibit 2.10

Sustainable Spending Rates for Different Planning Horizons and Investment Returns

Objective: Preserve 100% of Wealth (Inflation-Adjusted) at End of Horizon

Exhibit 2.10

Sustainable Spending Rates for Different Planning Horizons and Investment Returns

Objective: Preserve 100% of Wealth (Inflation-Adjusted) at End of Horizon

		Planning Horizon (in Years)				
		10	20	30	40	50
Inflation-Adjusted Investment Return	0%	0.0%	0.0%	0.0%	0.0%	0.0%
	1%	1.0%	1.0%	1.0%	1.0%	1.0%
	2%	2.0%	2.0%	2.0%	2.0%	2.0%
	3%	2.9%	2.9%	2.9%	2.9%	2.9%
	4%	3.8%	3.8%	3.8%	3.8%	3.8%
	5%	4.8%	4.8%	4.8%	4.8%	4.8%
	6%	5.7%	5.7%	5.7%	5.7%	5.7%